

FORM TP 2016102

CANDIDATE – PLEASE NOTE!

PRINT your name on the line below and return this booklet with the answer sheet. Failure to do so may result in disqualification.

TEST CODE **01239010**

MAY/JUNE 2016

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF ACCOUNTS

Paper 01 – General Proficiency

1 hour 30 minutes

19 MAY 2016 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This test consists of 60 items. You will have 1 hour and 30 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). Read each item you are about to answer and decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at the sample item below.

Sample Item

Prime cost is calculated by adding direct factory expenses to the

Sample Answer

- (A) cost of goods sold
- (B) sale of fixed assets
- (C) sale of finished goods
- (D) cost of materials used



The best answer to this item is “cost of materials used”, so (D) has been shaded.

5. If you want to change your answer, erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, go on to the next one. You may return to that item later.
7. The use of silent, electronic calculators is allowed.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.

Copyright © 2013 Caribbean Examinations Council
All rights reserved.

01239010/F 2016



1. A non-trading organization is MAINLY concerned with
 - (A) importing goods for resale
 - (B) trading only with wholesalers
 - (C) making maximum profit for the proprietor
 - (D) providing various services for its members
2. The term 'Accounting' refers to the
 - (A) use of information in making business decisions
 - (B) use of special ways of recording business information
 - (C) recording, analysing and interpreting of business information
 - (D) journalizing, posting and balancing of accounts in special books
3. Which of the following accounts are nominal?
 - (A) Wages and Rent
 - (B) Stock and Debtors
 - (C) Machinery and Plant
 - (D) Creditors and Fixtures
4. How would you classify land and buildings in a Balance Sheet?
 - (A) Fixed Assets
 - (B) Current Assets
 - (C) Current Liabilities
 - (D) Long-Term Liabilities
5. Which group of assets below is recorded in the 'Order of Liquidity'?
 - (A) Cash, Plant and Machinery, Stock
 - (B) Cash, Stock, Buildings and Lands
 - (C) Vehicles, Cash, Buildings and Lands
 - (D) Furniture, Vehicles, Office Supplies

Item 6 refers to the following balance sheet.

ASSETS	\$	CAPITAL	\$	\$
Land	4 000	Add Net Profit	13 450	
Motor vehicles	8 000		<u>3 000</u>	
Fixtures	2 600		16 450	
Stock	300	Less drawings	<u>(1 000)</u>	15 450
Debtors	450			
Bank	2 000	Creditors		2 100
Cash	200			
	17 550			17 550

6. The value of TOTAL fixed assets is
 - (A) \$12 000
 - (B) \$14 600
 - (C) \$15 350
 - (D) \$19 650

GO ON TO THE NEXT PAGE

7. The summarized position of Foster and Scott Limited at 6 March 2015 was:

	\$
Current Liabilities	60 000
Current Assets	100 000
Fixed Assets	200 000
Long Term Liabilities	150 000

What was the capital of Foster and Scott Limited at 6 March 2015?

- (A) \$ 40 000
(B) \$ 90 000
(C) \$150 000
(D) \$190 000
8. If the following lists of assets found on the Balance Sheet of a retail trader were to be arranged in order of liquidity, the sequence would be
- (A) Motor van, Building, Bank, Fixtures, Cash, Debtors
(B) Cash, Fixtures, Debtors, Bank, Building, Motor van
(C) Cash, Bank, Fixtures, Debtors, Motor van, Building
(D) Cash, Bank, Debtors, Motor van, Fixtures, Building

Item 9 refers to the following information about the assets and liabilities of Mr Jones.

	\$
Cash at bank	800
Inventory	400
Accounts payable	600
Accounts receivable	125
Bank overdraft	250
Cash in hand	500

9. From the information above, Mr Jones' capital amount is
- (A) \$405
(B) \$450
(C) \$850
(D) \$975

10. A firm sold 50 items at \$80 each. Of these, 9 items were returned. Which of the following will the firm issue in respect of the items returned?

- (A) Debit note for \$720
(B) Credit note for \$720
(C) Receipt for \$720
(D) Invoice for \$720

11. A trade discount may be described as an allowance given

- (A) to attract buyers
(B) for quick payment of accounts
(C) when goods are of a poor quality
(D) to traders who buy in large quantities

Item 12 refers to the following information from the books of a company.

	\$
Cash sales	10 000
Credit sales	45 000
Stock on hand	40 000
Drawings	8 000
Cash purchases	12 000
Credit purchases	20 200

12. From the information above, what is the correct closing total for the Sales Account?

- (A) \$47 000
(B) \$49 000
(C) \$55 000
(D) \$59 000

13. Which of the following would NOT appear in a cash book?

- (A) Payment for goods \$100
(B) Goods sold on credit \$100
(C) Goods sold for cheque \$100
(D) Goods bought for cash \$100

GO ON TO THE NEXT PAGE

14. On 12 January 2015, a merchant purchased goods amounting to \$120 on the following terms: 5% cash discount if paid within 30 days. He settled his debt on 28 February 2015. How much did he pay?
- (A) \$112
(B) \$114
(C) \$120
(D) \$126
15. When a proprietor withdraws cash or other assets from a business, what effect does it have on drawings or capital?
- (A) Capital is decreased.
(B) Capital is increased.
(C) Drawings are decreased.
(D) Neither drawings nor capital is affected.
16. On 2 March 2015 L. Lan bought goods on credit worth \$630. He received a 3% trade discount on this amount. The invoice also stated 2% 20 days, net 30 days. How much would L. Lan pay for the goods if he pays on 8 March 2015?
- (A) \$595.00
(B) \$598.88
(C) \$611.10
(D) \$661.12
17. When money is taken from cash and paid into a bank account, the recording is referred to as
- (A) the imprest
(B) a contra entry
(C) cash takings
(D) personal drawings
18. The ABC Company deposited a cheque for \$300 received from Mr Murray. How should this transaction be recorded in ABC's books?
- I. Debit the Cash Account.
II. Debit the Bank Account.
III. Credit Murray's Account.
- (A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III
19. Which of the following is NOT a nominal account?
- (A) Furniture
(B) Commission
(C) Carriage Inwards
(D) Discount Allowed
20. An asset purchased for \$1 000 is depreciated at the rate of 10% per annum using the reducing balance method. The book value of the asset at the **beginning** of the third year is
- (A) \$ 800
(B) \$ 810
(C) \$ 900
(D) \$1 190
21. A mechanic starts his business with \$10 000 worth of tools. What entries should be made to record this transaction?
- (A) Dr. Capital A/c; Cr. Bank A/c
(B) Dr. Bank A/c; Cr. Capital A/c
(C) Dr. Tools A/c; Cr. Capital A/c
(D) Dr. Capital A/c; Cr. Tools A/c

GO ON TO THE NEXT PAGE

22. Goods were sold on credit to John Brown. Which of the following is the correct double entry to record this transaction?

- (A) Debit John Brown's A/c
Credit Sales A/c
- (B) Debit Sales A/c
Credit John Brown's A/c
- (C) Debit John Brown's A/c
Credit Cash A/c
- (D) Debit Cash A/c
Credit John Brown's A/c

23. M. K. Trucking company received a cheque from Mrs Henry. How must this transaction be recorded in M. K. Trucking's books?

- I. Credit the Cash Book.
 - II. Credit Mrs Henry's Account.
 - III. Debit the Bank Account.
 - IV. Debit Mrs Henry's Account.
- (A) I and III only
 - (B) I and IV only
 - (C) II and III only
 - (D) II and IV only

Item 24 refers to the following information.

Number of Items	Invoice Price per Unit \$	Market Price per Unit \$
100	60	64
80	100	90
50	84	90
75	84	80

24. What is the value of the inventory (stock)?

- (A) \$23 100
- (B) \$23 400
- (C) \$24 100
- (D) \$24 500

25. An increase in drawings will result in

- (A) an increase in long-term liabilities
- (B) a decrease in capital
- (C) a decrease in current liabilities
- (D) an increase in capital

GO ON TO THE NEXT PAGE

Items 26–27 refer to the following information.

	\$		\$	\$
Capital	50 000	Fixed Assets		
<u>Long-term Liabilities</u>		Machinery	25 000	
Bank loan	15 000	Vehicles	<u>20 000</u>	45 000
<u>Current Liabilities</u>		<u>Current Assets</u>		
<u>Creditors</u>	<u>5 000</u>	Stock	4 000	
		Debtors	6 000	
		Bank	<u>15 000</u>	<u>25 000</u>
	<u>\$70 000</u>			<u>\$70 000</u>

26. What is the working capital?
- (A) \$20 000
(B) \$25 000
(C) \$50 000
(D) \$70 000
27. If \$2 000 worth of stock is sold on credit at cost, what would be the new working capital?
- (A) \$20 000
(B) \$25 000
(C) \$50 000
(D) \$70 000
28. During the year, a company bought stationery for \$220 and used \$120 worth of it. What is the expenditure for stationery that would be posted to the Profit & Loss Account?
- (A) \$100
(B) \$120
(C) \$220
(D) \$340
29. A trader started with capital of \$20 000 in the bank. If \$12 000 of it was used to purchase building and plant, the balance of \$8 000 would be
- (A) drawings
(B) total assets
(C) working capital
(D) current liabilities

GO ON TO THE NEXT PAGE

30. The formula for working capital is

- (A) total assets less total liabilities
- (B) fixed assets less current assets
- (C) fixed assets less current liabilities
- (D) current assets less current liabilities

32. When a Trial Balance fails to agree, the difference is entered in the

- (A) Control Account
- (B) Suspense Account
- (C) Reserve Account
- (D) Provision Account

Item 31 refers to the following extract from a trading account.

	\$
Opening inventory	200
Sales	900
Purchases	500
Closing inventory	300

31. What is the gross profit?

- (A) \$100
- (B) \$300
- (C) \$500
- (D) \$800

33. How does an increase in bad debt affect a sole trader's financial statements?

- (A) Decrease the gross profit
- (B) Increase the gross profit
- (C) Decrease the net profit
- (D) Increase the net profit

34. A debt is considered a 'bad debt' if the debtor

- (A) pays late
- (B) fails to pay
- (C) clears the debt in parts
- (D) does not use money to pay

Item 35 refers to the following information.

Dr.			Insurance A/c		Cr.	
2015		\$	2015		\$	
2 January	Balance b/d	700	31 December	Profit & Loss A/c	8 100	
15 January	Bank	8 000	31 December	Balance c/d	600	
		<u>8 700</u>			<u>8 700</u>	

35. What is the amount of insurance prepaid at the end of the year?

- (A) \$ 600
- (B) \$ 700
- (C) \$8 000
- (D) \$8 100

GO ON TO THE NEXT PAGE

36. M. Brown wishes to increase his provision for bad debts from 8% to 10%. Accounts Receivable at the end of the year totalled \$10 000, whilst the balance in the provision for bad debts account is presently \$800. Which of the following would be the correct entries to record the provision for the year?

- (A) Dr. Profit & Loss A/c, \$ 720
Cr. Provision for Bad Debts A/c \$ 720
- (B) Dr. Profit & Loss A/c, \$ 800
Cr. Provision for Bad Debts A/c \$ 800
- (C) Dr. Profit & Loss A/c, \$1000
Cr. Profit & Loss A/c \$1000
- (D) Dr. Profit & Loss A/c, \$ 200
Cr. Provision for Bad Debts A/c \$ 200

Item 37 refers to the following information which was extracted from the Cash Book of Dandy Dare.

	\$
Balance per Cash Book	560
Total unpresented cheques	120
Lodgement not entered on Bank Statement	150

37. What is the balance per Bank Statement?

- (A) \$120
(B) \$150
(C) \$340
(D) \$530

38. In a partnership, which of the following transactions is compulsory?

- (A) Paying of salaries
(B) Interest on capital
(C) Interest on drawings
(D) Sharing of profits or losses

Item 39 refers to the following data.

	\$
Debtors with credit balances	1 100
Creditors with debit balances	700
Amount received recorded as an overpayment in error	200

39. The amount to be shown as a set-off in the Debtors Ledger Control Account is

- (A) \$ 200
(B) \$ 700
(C) \$ 900
(D) \$1 100

40. Which of the following items can be used to adjust the Cash Book balance before preparing a Bank Reconciliation Statement?

- (A) Direct transfers and bank lodgements
(B) Direct transfers and dishonoured cheques
(C) Bank lodgements and unpresented cheques
(D) Dishonoured cheques and unpresented cheques

GO ON TO THE NEXT PAGE

41. On 1 June, P. Shark, a sole proprietor, owed creditors \$4 300. During the month he paid \$13 100 by cheque and at the end of the month his balance owing was \$2 700. Cash purchases for the month are \$3 500. What is P. Shark's total purchases for the month?

(A) \$ 8 000
(B) \$11 500
(C) \$15 000
(D) \$15 800

42. Mr Jones' business began the month with an overdraft of \$1 200. During the month, total deposits were \$2 000 and total payments were \$600. What was the Cash Book Balance at the end of the month?

(A) Debit balance of \$200
(B) Credit balance of \$200
(C) Credit balance of \$600
(D) Debit balance of \$1 400

43. Mr Smith does not keep proper records. He began his business with \$10 000 in its bank account. He uses his vehicle and building worth \$6 000 and \$15 000 respectively as part of his business. Customers owe him \$4 000. He withdrew \$1 500 for personal use and owed creditors \$2 000.

What is the closing capital of the business?

(A) \$25 500
(B) \$28 500
(C) \$31 500
(D) \$33 000

44. At the end of the year the capital of a business was \$33 000. At the beginning of the year the capital was \$28 000. During the year the owner withdrew \$2 000 for personal use. What is his net profit for the year?

(A) \$ 5 000
(B) \$ 7 000
(C) \$30 000
(D) \$61 000

Item 45 refers to the following information.

	\$
Inventory at 1 January 2013	1 500
Purchases during the month	1 200
Cost of goods sold	1 400

45. What is the inventory at the end of January?

(A) \$ 300
(B) \$ 500
(C) \$ 700
(D) \$1 300

46. The main reason why a sole proprietor may consider joining with one or more persons to form a partnership is

(A) the business would attract more customers
(B) the business would be recognized by the government
(C) he can work less if many people are involved in the business
(D) the business would get additional capital and management skills

GO ON TO THE NEXT PAGE

47. Mrs Louis invested \$20 000, Mrs Monroe invested \$5 000 and Mr Nanton invested \$5 000 in the same business. The loss sustained during the year was \$1 000. The 'partnership agreement' is silent on the item of losses, although profits are to be split in the ratio 2:2:1 in favour of Louis, Monroe and Nanton respectively. How much of the loss must be borne by Mr Nanton?

(A) \$200
(B) \$240
(C) \$300
(D) \$400

48. A businessman incurred the following expenses.

	\$
Factory repairs	6 000
Machinery repairs	2 000
New machine	3 000
New vehicle	7 000

What is his TOTAL capital expenditure?

(A) \$ 6 000
(B) \$ 7 000
(C) \$ 8 000
(D) \$10 000

49. Which of the following ratios are used to analyse the financial position of a partnership company?

I. Current ratio
II. Acid test ratio
III. Return on capital employed

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

50. A business with more than one owner records the division of profit in which of the following accounts?

(A) Capital Account
(B) Trading Account
(C) Appropriation Account
(D) Profit and Loss Account

51. Which of the following accounts BEST describes the Final Accounts of a non-trading organization?

I. Receipts and Payments
II. Income and Expenditure
III. Trading and Profit and Loss

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

52. The reward of profit received by a shareholder in a limited company is called

(A) interest
(B) drawings
(C) dividend
(D) commission

GO ON TO THE NEXT PAGE

Item 53 refers to the following information provided by a business.

	\$		\$
Bank balance at August 2014	700	Inventory at 31 July 2015	2 000
Purchase of refreshments	500	Donations to charity	200
Purchase of furniture	500	Depreciation of furniture	50
Sale of equipment	600	Proceeds from raffle	1 500

53. What is the bank balance in the Receipts and Payments Account for the year ended 31 July 2015?

- (A) \$ 900
- (B) \$1 600
- (C) \$2 850
- (D) \$3 550

54. A company earned a net profit of \$60 000 for the year ending 30 September 2015. Proposed dividends were: ordinary shares \$10 000 and preference shares \$15 000. The company decided to transfer \$8 000 to a general reserve. The retained earnings on 30 September 2015 was

- (A) \$27 000
- (B) \$33 000
- (C) \$35 000
- (D) \$93 000

55. The Trading and Profit and Loss Account is used when a cooperative is

- (A) paying dividends
- (B) providing services
- (C) setting aside revenues
- (D) buying and selling goods

56. A business receives \$5 000 for Rent Revenue and deposits this amount into its Bank account. How will this transaction be recorded?

- (A) Dr. Rent \$5 000; Cr. Bank \$5 000
- (B) Dr. Bank \$5 000; Cr. Rent Revenue \$5 000
- (C) Dr. Cash \$5 000; Cr. Rent Revenue \$5 000
- (D) Dr. Rent Revenue \$5 000; Cr. Rent expense \$5 000

Item 57 refers to the following information.

	\$
Prime cost	10 000
Overheads	16 000
Work in progress 1 January	3 000
Work in progress 31 December	5 000

57. What is the year's cost of production of finished goods?

- (A) \$14 000
- (B) \$18 000
- (C) \$21 000
- (D) \$24 000

58. P. Hawk has a manufacturing business. The cost of his raw materials was \$1 900. Rates and rent totalled \$2 000, and factory wages amounted to \$2 500.

The number of units produced was 640. What was the cost of ONE unit?

- (A) \$ 4
- (B) \$ 6
- (C) \$10
- (D) \$13

59. Q. Baine is employed by a construction company at a rate of \$7 per hour. During the week of 6 April 2015, he worked his basic week of 40 hours. The income tax due on his pay is \$20, and he is also liable to pay social security contributions of 5% of his gross pay.

What is Q. Baine's net pay?

- (A) \$246
- (B) \$260
- (C) \$266
- (D) \$280

Item 60 refers to the following information for V. Jones.

	\$
Net Pay	1 200
Income Tax	300
National Insurance	50

60. What is the gross pay for V. Jones?

- (A) \$ 850
- (B) \$ 950
- (C) \$1 450
- (D) \$1 550

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.